

Investors are able to decide on their risk profile and invest in companies and funds that align with that profile. Investors are able to research their companies, see their past performances, understand their products, read their future forecasts and make decisions based on merit. Investors can read about the value of a company and decide if they wish to invest in them or not.

One of the most common misconceptions that lead people into thinking investing is like gambling is the misunderstanding of what investing is. Some people think it involves taking money, throwing it into a few companies and hoping for the best. That is what is called speculative investing: putting money into a company because you assume, or speculate, without any research, that the company will do well, or continue to do well based on past performance.

An example of this was the GameStop rally of 2021, which we discuss in more detail in [chapter 9](#). Another example was Tesla's boom of 2021. Many investors saw Tesla ride upwards and couldn't see the stock dropping anytime soon. See [figure 2.2](#).